

Funding Request Review

Learn how facility agents review funding requests and make approval decisions

Overview

Funding request review is the process where facility agents evaluate borrower funding requests to ensure compliance with facility rules, verify borrowing base availability, and make approval decisions. This guide covers the review process from a facility agent perspective, including how to evaluate requests and make informed decisions.

Who Can Use This

- Facility Agents who review funding requests submitted by borrowers

When This Is Used

Use funding request review when:

- Borrowers submit funding requests against active facilities
- You need to evaluate drawdown requests
- You want to approve or reject requests
- You need to ensure facility rules are followed
- You want to verify borrowing capacity availability

Step-by-Step Process

Reviewing Funding Requests

1. Access Request

- Check notifications for new funding request submissions
- Navigate to funding requests for review

- Open request details
- Review all information provided

2. **Verify Compliance with Facility Rules**

- Check request complies with all facility rules
- Verify amount is within facility limits
- Confirm drawdown frequency rules are followed
- Ensure purpose aligns with facility terms
- Check other facility-specific requirements

3. **Check Borrowing Base and Capacity**

- Verify sufficient borrowing capacity is available
- Calculate available capacity based on borrowing base
- Assess request impact on borrowing base
- Check if request exceeds available capacity
- Verify calculations are correct

4. **Review Documentation**

- Check all required documents are provided
- Verify document quality and completeness
- Ensure documents support the request
- Confirm documentation meets requirements
- Review document content for accuracy

5. **Evaluate Collateral** (if applicable)

- Verify collateral eligibility if facility requires collateral
- Check collateral valuation is accurate
- Confirm collateral is not already pledged
- Ensure collateral concentration is within limits
- Verify collateral meets quality requirements

6. **Assess Request Details**

- Review request amount and purpose
- Check funding date is appropriate
- Evaluate borrower's justification

- Assess overall request quality
- Consider facility utilization impact

Making Review Decisions

1. Approve Request

- Review thoroughly and verify all requirements met
- Confirm request complies with facility rules
- Verify sufficient capacity is available
- Click "Approve" button or similar
- Enter approval comments if needed
- Confirm approval
- Funding notice is automatically created
- Status changes to "APPROVED"

2. Reject Request

- Review and identify issues or concerns
- Determine request doesn't meet requirements
- Click "Reject" button or similar
- Provide detailed rejection reason
- Enter comments explaining rejection
- Confirm rejection
- Status changes to "REJECTED"
- Borrower can create new request

3. Request Changes

- Identify needed modifications
- Determine improvements that would make request acceptable
- Click "Request Changes" button or similar
- Provide detailed change request
- Enter specific modifications needed
- Confirm change request

- Status changes to "CHANGES_REQUESTED"
- Borrower can update and resubmit

Rules & Validations

- Requests must comply with all facility rules - any violation results in rejection or change request.
- Request amount cannot exceed available capacity - system validates that amount is within borrowing base limits.
- All required documentation must be provided - missing documents result in rejection or change request.
- Collateral must meet eligibility criteria if applicable - ineligible collateral results in rejection or change request.
- Approved requests automatically generate funding notices - you don't need to create notices manually.
- Rejected requests cannot be resubmitted - borrowers must create new requests if rejected.
- Change requests allow editing and resubmission - borrowers can update requests and resubmit.
- Decisions are final once submitted - you cannot easily reverse decisions after submission.
- Complete audit trail - all decisions, reasons, and comments are recorded with timestamps.
- Borrower notifications - borrowers receive notifications when you make decisions.

What Happens Next

After reviewing a funding request:

- **If Approved:** Funding notice is automatically created, tokens are generated, facility agent signs for lenders, borrower approves token transfer, lenders review and approve, and funds are transferred.

- **If Rejected:** Borrower receives rejection reason, borrower can create new request addressing issues, new request goes through same review process, and process can start over with improvements.
- **If Changes Requested:** Borrower receives change request details, borrower updates request with requested changes, borrower resubmits for your review, you review again and make new decision, and process can repeat until approved or rejected.

After approval:

- Funding notice is automatically created with "PENDING_TOKEN_GENERATION" status
- You generate tokens and sign for lenders
- Borrower approves token transfer
- Funding notice becomes visible to lenders
- Lenders review and approve drawdowns
- Funds are transferred as lenders confirm

Understanding funding request review helps facility agents effectively evaluate requests, ensure facility rules are followed, maintain proper oversight, and make informed approval decisions that protect facility integrity while serving borrower needs.